OFFICEAIM KNOWLEDGE BASE: FEASIBILITY ANALYST

1. UNIT ECONOMICS (THE FOUNDATION)

Never look at gross revenue first. Look at the Contribution Margin (CM).

- **Formula:** Net Revenue per Unit - Variable Costs per Unit.
- **Variable Costs Include:** COGS (Cost of Goods Sold), Packaging, Shipping, Pick & Pack Labor, Payment Processing Fees.
- *Rule of Thumb:* If the CM is thin (low single digits), the business needs exceptional retention and cheap acquisition to survive.

2. ACQUISITION EFFICIENCY

- **CAC (Customer Acquisition Cost):** Total acquisition spend ÷ # of new paying customers.
- **Blended CAC vs. Paid CAC:** Blended includes organic/referrals. Paid isolates marketing efficiency. Always track both.
- **CAC Payback Period:** CAC ÷ Contribution Margin per user/month.
- *Rule of Thumb:* Payback < 6 months is excellent. Payback > 12 months requires heavy external funding and is highly risky.

3. LTV & RETENTION

Do not use revenue-based LTV; use contribution-based LTV.

- **Contribution LTV:** Contribution Margin per user/month ÷ Monthly Churn Rate.
- **LTV:CAC Ratio:** Contribution LTV ÷ CAC.
- *Rule of Thumb:* LTV:CAC ≥ 3.0 is a healthy, fundable target. If < 2.0, the business is burning cash and needs to fix retention or lower CAC immediately.
- **NRR (Net Revenue Retention):** (Starting MRR - Churned MRR + Expansion MRR) ÷ Starting MRR. NRR > 100% means the business grows even without acquiring new customers.

4. CASH FLOW & WORKING CAPITAL (THE SILENT KILLER)

A business can be "profitable" on paper but go bankrupt due to trapped cash.

- **CCC (Cash Conversion Cycle):** Days Inventory Outstanding + Days Sales Outstanding - Days Payables Outstanding. The lower, the better. Negative CCC is the holy grail.
- **Inventory Turns:** COGS ÷ Average Inventory. Low turns mean cash is trapped in a warehouse.
- **Prepay Ratio:** % of customers on annual/multi-month prepay plans. This funds acquisition

upfront.

5. THE GO/NO-GO HEURISTICS

- If LTV:CAC < 2 -> NOT VIABLE without a pivot.
- If Payback > 9 months -> Expect funding pressure; highly sensitive to ad platform changes.
- If Churn is > 10% monthly -> You have a leaky bucket. Stop spending on marketing and fix the product.